

Normalization

- **Min-max normalization:** to $[new_min_A, new_max_A]$

$$v' = \frac{v - min_A}{max_A - min_A} (new_max_A - new_min_A) + new_min_A$$

- Ex. Let income range \$12,000 to \$98,000 normalized to [0.0, 1.0]

- Then \$73,600 is mapped to $\frac{73,600 - 12,000}{98,000 - 12,000} (1.0 - 0) + 0 = 0.716$

- **Z-score normalization** (μ : mean, σ : standard deviation):

$$v' = \frac{v - \mu_A}{\sigma_A}$$

Z-score: The distance between the raw score and the population mean in the unit of the standard deviation

- Ex. Let $\mu = 54,000$, $\sigma = 16,000$. Then $\frac{73,600 - 54,000}{16,000} = 1.225$

- **Normalization by decimal scaling**

$$v' = \frac{v}{10^j} \quad \text{Where } j \text{ is the smallest integer such that } \text{Max}(|v'|) < 1$$